

COPPER CATHODE EXPORT BUSINESS PLAN(DRC to China)

This project presents a structured business model for the export of copper cathodes from the Democratic Republic of the Congo to China.

The objective is to develop a controlled and profitable commodity trading operation by managing three critical variables:

- Acquisition cost of copper
- Logistics execution efficiency
- Exposure to market price fluctuations

The operation is based on a 60–90 day logistics cycle, during which copper is transported and sold at internationally benchmarked prices.

1. BUSINESS MODEL

The idea is to operate as a **commodity trading and logistics coordinator**, ensuring efficient movement of copper from source to final buyer.

Core Activities:

- Procurement of copper cathodes in DRC
- Inland transport to Dar es Salaam
- Maritime shipping to China
- Delivery to final buyer

Key Operational Focus:

- Logistics management
- Time delay (60–90 days transit)
- Price risk exposure (LME fluctuation)
- Structured decision-making

The revenue is generated through the margin between procurement price and selling price not only by delivery of the copper but whatever the costs.

2. KEY OPERATING PARAMETERS

- **Initial Volume:** 100 – 500 tons
- **Truck Capacity:** 25 tons per truck

Transport Requirements:

Volume Trucks Required

25 tons	1 truck
100 tons	4 trucks
500 tons	20 trucks
1000 tons	40 trucks
2000 tons	80 trucks

3. LOGISTICS STRUCTURE

A. Seller Control Delivery :

In this model, the seller is responsible for transporting copper to the export port(or the designated warehouse), including all regulatory documentation.

However, a critical issue arises:

The seller typically receives payment only after final delivery and inspection (at the the designated warehouse).

Key Risk:

- Seller pre-finances logistics without guaranteed payment which sound impossible
- Buyer risks of prepayment without delivery assurance what typically make the buyer pay after inspection

This creates **high trust dependency and fraud exposure**

B. Buyer Control Logistics

The buyer manages transport from the supplier's warehouse at this point the project look 50% doable , the only trick is to found a long term supply chain.

Option 1: External Logistics Provider

Example: Bolloré Africa Logistics

Advantages:

- Reduced operational risk
- Faster execution
- Professional handling of customs and transport

Disadvantage:

- Higher cost (can be up to 20–25% above market average)

Option 2: Owned Transportation

Advantages:

- Full operational control
- Lower cost over long-term operations

Associated Costs:

- Truck acquisition
- Driver salaries (\$500–\$1,000/month)
- Fuel and maintenance
- Insurance and border management

Risks:

- Mechanical failure
- Delays
- Operational complexity
- ...

4.MARKET DYNAMICS

We all know that the Copper prices are determined by the London Metal Exchange (LME)

Key observation:

- The market is highly volatile
- Multi-timeframe analysis (yearly, monthly, weekly) shows fluctuating trends

- A downward movement toward levels such as \$7,765 is possible

1 year candle chart: it clear that the price are going down it may hit the 7765 price



TradingView

One months candle chart



One week candle chart



One day candle chart



5 CORE RISK PRINCIPLE

In commodity trading, value is not created by predicting the market, but by structuring exposure to uncertainty.

The objective is not to control price, but to control **risk exposure**.

6. RISK TAXONOMY

6.1 Market Risk

Exposure to price fluctuations over the logistics cycle.

Example:

- Entry(buy in the DRC): \$8,200
- Exit(while selling in china): \$7,800
- Loss: \$400/ton

For 300 tons:

-\$120,000

6.2 Logistics Risk

- Transport disruptions
- Border delays
- Port congestion

Impact:

- Extended exposure to market volatility
- Increased operational cost

6.3 Counterparty Risk

Buyer risk:

- Payment default

Supplier risk:

- Quality or quantity mismatch

6.4 Operational Risk

- Documentation errors
- Poor coordination

6.5 Regulatory Risk

- Export policy changes (DRC)
- Import rules (China)
- We do not have to forget the corruption with all of its core consequence .

7. STRATEGIC POSITIONING

This operation is not speculative.

It is a **risk-managed commodity flow model**, where:

- Profitability is structured
- Risk is controlled
- Execution is disciplined

FINAL EXECUTIVE STATEMENT

Each transaction is evaluated through a dual framework of profitability and risk exposure, ensuring capital preservation as the primary objective, with growth achieved through controlled and repeatable execution.